

for money to arrive in a more calibrated manner,” says Samir Rachh, Fund Manager-Equity, Nippon India Mutual Fund. “Small-cap is a comparatively less liquid space and has high impact cost. In that context, the size of the fund does create its own challenges,” he adds.

Similarly, Anand Vardarajan, Business Head-Institutional Clients, Banking, Alternate Investments & Product Strategy of Tata Asset Management, notes that the fund house’s performance has resulted in robust flows, which have increased cash in hand. Unlike large-cap companies, which typically have plenty of liquidity, small-caps can make it tricky to get the amount needed. “If we still buy, the impact cost goes up and we unwittingly drive up the price,” explains Vardarajan.

According to AMFI, the top 100 stocks by market cap are considered large-caps, while the following 150 are classified as mid-caps. The small-cap market comes next. To put it differently, the largest stock that a small-cap fund could invest in would be the 251st largest company in terms of market capitalisation, in the overall list of listed firms.

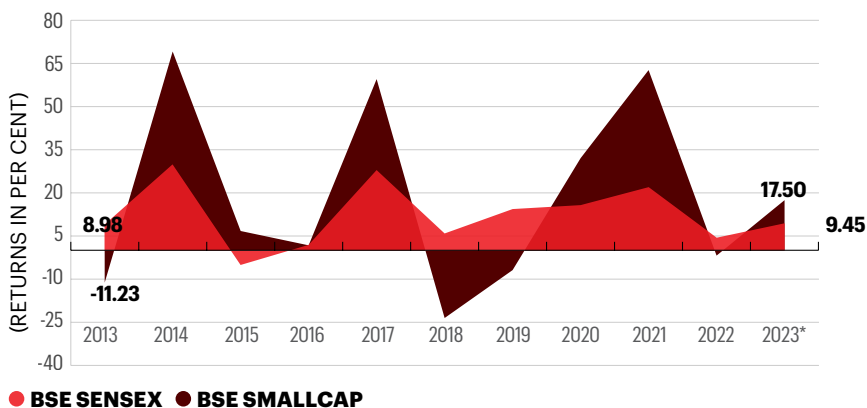
“The issue that a lot of large small-cap funds face is daily liquidity with a lot of small-cap stocks having really low average daily volumes. When inflows into small-cap funds increase faster than daily liquidity, as has happened recently, it can become a limiting factor for funds and it will always impact funds with the largest SIP books first,” says Gaurav Rastogi, Founder & CEO of Kuvera, an online wealth management firm.

NO LONGER SMALL

At least six small-cap funds have AUM of over ₹5,000 crore. Nippon India Small Cap Fund is the largest in the country with almost ₹32,000

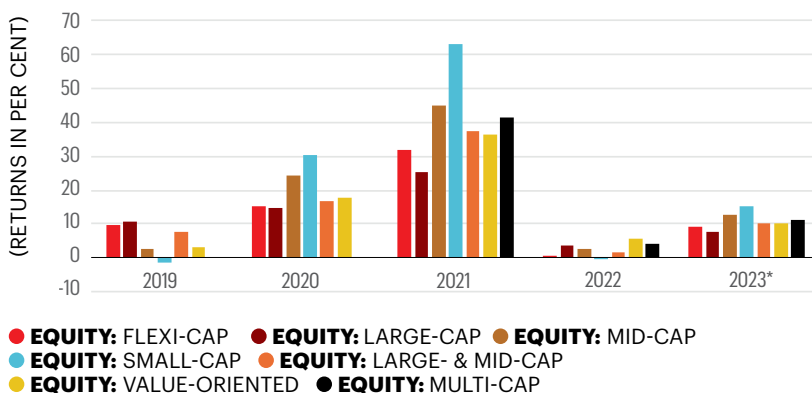
RETURNS ROSTER

The small-cap index has given better returns than the benchmark BSE Sensex in 2023



*DATA TILL JULY 17, 2023; SOURCE BSE

Small-cap funds emerged as the highest return-generating category of MFs after falling into negative territory in 2022



*YTD AS ON JULY 13, 2023; SOURCE VALUE RESEARCH

Small-cap funds had net assets under management of ₹1.7 lakh crore as of June 30, 2023

Category	No. of schemes	No. of folios*	Net AUM**
► Equity: Flexi-cap	36	12.80	2,72,743.17
► Equity: Large-cap	31	12.90	2,59,583.23
► Equity: Mid-cap	29	11.00	2,18,145.99
► Equity: Small-cap	24	12.30	1,68,434.33
► Equity: Large- & mid-cap	26	8.00	1,48,217.80
► Equity: Value-oriented	23	4.90	1,04,685.73
► Equity: Multi-cap	19	4.30	78,415.29

*IN MILLION; **IN ₹ CRORE; DATA AS OF JUNE 30, 2023; SOURCE AMFI